



TEACHING PLAN

Elon Musk at Tesla

This teaching plan (TP) is designed to be used in conjunction with the case “Elon Musk at Tesla,” HBS No. 123-044 to help faculty deepen students’ comprehension of business issues and energize classroom discussion. The TP includes these sections:

• Case Synopsis.....	1
• Teaching Objectives	2
• Assignment Questions.....	2
• Roadmap for Discussion	2
• Discussion Plan.....	3
• Wrap Up	8
• Board Plan	10

Case Synopsis

This case gives an overview of Elon Musk’s career arc through the lens of the 2003 founding of Tesla and its growth through 2022. Background information is included on Tesla’s unique strategic decisions, its operational and reputational struggles and successes, and the broader evolution of the electric vehicle market, emissions regulations, and green technology developments. The case also contains information on Musk’s early life and endeavors beyond Tesla, with a focus on his management style and the implications for Tesla’s success and his aim to influence human civilization for the better. The case raises important questions about the role of individual leaders in firm success, CEO transition in founder-led companies, and the structure and practice of corporate governance.

This teaching plan was prepared by Professor George Serafeim for the sole purpose of aiding classroom instructors in the use of “Elon Musk at Tesla,” HBS No. 123-044. It provides analysis and questions that are intended to present alternative approaches to deepening students’ comprehension of business issues and energizing classroom discussion. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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Teaching Objectives

This case has been taught in Harvard Business School's second-year MBA course, "Risks, Opportunities, and Investments in the Era of Climate Change." It is applicable to undergraduate, MBA, and executive education courses covering investment management, investment strategies, sustainability, and climate change. The case's teaching objectives are to:

- Analyze how an individual leader can make a difference revolutionizing a whole industry and starting a highly successful company.
- Examine who might be the right leader of a company across its lifecycle.
- Identify the characteristics of a leader that create "outlier" outcomes.
- Reflect on the needs for strong corporate governance and what that means for founder-led companies with high growth potential.

Assignment Questions

1. As an investor or a board member would you vote favorably to give Musk a 25% vote control?
2. How would you describe the leadership style of Elon Musk?
3. How has this leadership style contributed to Tesla's success?
4. Which leadership characteristics would you like to develop and exhibit throughout your career? Which ones you would not?

Roadmap for Discussion

This discussion plan is designed for an 80-minute class with the following sections:

- 5 minutes Introduction
- 20 minutes Pasture One: Vote transfer decision
- 15 minutes Pasture Two: Difficulty of making Tesla successful
- 20 minutes Pasture Three: Musk's contribution
- 15 minutes Pasture Four: Still right leader?
- 5 minutes Wrap Up

Discussion Plan

Introduction (5 Minutes)

Instructors can introduce the case by discussing the starting point of the company with the master plan that Elon Musk published in 2006.

Tesla Master Plan 1 (2006): the instructor could show the original master plan and focus on a few key parts of it. This is a way to start the class by showing the starting point. The master plan can be found here: <https://www.tesla.com/blog/secret-tesla-motors-master-plan-just-between-you-and-me>. The instructor could highlight a few key parts. First, the fact that Musk tackles heads on the issue of carbon emissions and carbon leakage from gas consumption to the electricity grid. He does the mathematics to show that carbon emissions will decline when you drive an electric vehicle because of the higher efficiency of converting natural gas to electricity compared to the efficiency of the internal combustion engine. Moreover, as the electricity grid will become greener, powered by renewable energy, the carbon reductions will become even larger. He also discusses the environmental impact of the batteries at the end of their lifecycle. In addition, he is very transparent about his “master plan”:

- “Build sports car
- Use that money to build an affordable car
- Use *that* money to build an even more affordable car
- While doing above, also provide zero emission electric power generation options”¹

The instructor could highlight the humorous nature of the master plan as Elon Musk makes his master plan public but writes in the title “The Secret Tesla Motors Master Plan (just between you and me).”

Pasture One: Vote Rights (20 Minutes)

Lead the class in a discussion of whether they would be happy to give Musk additional vote rights. This will be a way of energizing the discussion and forcing students to decide while articulating the reasons behind the decision.

Ask, “As an investor would you be in favor of giving Musk additional votes to get to 25%?” You could ask the same question and force students to take the perspective of a board member if that might be more appropriate for the class that the case is taught. The main themes and important concepts that this discussion should generate are summarized in **TP Table 1**.

¹ Elon Musk, Co-Founder & CEO of Tesla Motors, August 2, 2006. “The Secret Tesla Motors Master Plan (just between you and me).” <https://www.tesla.com/blog/secret-tesla-motors-master-plan-just-between-you-and-me>

TP Table 1 Votes decision

Give Vote Rights	Do Not Give Vote Rights
Enhanced Decision-Making Efficiency	Increased Risk of Autocratic Leadership
- Streamlined decision-making process, potentially accelerating implementation of new ideas.	- Concentrated voting power may lead to decisions that benefit Musk more than other shareholders.
Alignment with Vision and Leadership	Potential for Misalignment with Minority Shareholders
- Musk's vision has driven Tesla's success; aligning more votes with his vision might foster further innovation and growth.	- Other shareholders may feel their voices are less significant, potentially leading to discontent or disinvestment.
Market Confidence	Corporate Governance Concerns
- Markets might react positively to Musk having more control, seeing it as a sign of stability and strong leadership.	- This move could be viewed negatively in terms of corporate governance, affecting investor confidence and Tesla's reputation.
Long-Term Strategic Focus	Reduced Checks and Balances
- Musk can plan and execute long-term strategies without being overly concerned with quarterly pressures or dissent.	- Fewer checks and balances may lead to governance issues and less oversight, increasing business risk.

Source: Casewriter.

As the discussion unfolds, the instructor should ask students follow-up questions to ensure they are reflecting on all these topics.

- Impact on Tesla's Strategy and Operations: Ask, "How might Musk's increased control affect Tesla's strategic direction and operational decisions?"
- Investor Relations and Market Perception: Ask, "What could be the implications for Tesla's relationship with its investors and the broader stock market?"
- Corporate Governance: Ask, "How does this change affect the principles of good corporate governance, and what measures could be implemented to mitigate any negative impacts?"
- Long-Term Sustainability: Ask, "Considering the long-term sustainability of Tesla, how might Musk's increased control influence the company's adaptability and resilience?"

Pasture Two: Difficulty of making Tesla successful (15 Minutes)

Shift then the discussion asking students to reflect on the beginnings of the class and the master plan in 2006 and ask, "How difficult was for Tesla to succeed?" The students will outline several factors that would make Tesla's success quite unlikely.

TP Table 2 Barriers to success

Barriers	Description
High Industry Entry Barriers	Capital-intensive nature of the industry, established competitors, complex supply chains, and stringent regulatory requirements all pose significant challenges to new entrants.
Technological Innovation Hurdles	Significant innovation in batteries needed, and development of necessary infrastructure like charging stations.
Scale and Supply Chain Complexities	Scaling production to meet global demand, establishing a cost-effective supply chain, and ensuring the availability of critical components such as batteries.
Consumer Acceptance	Changing consumer behavior, alleviating range anxiety, and building a reliable reputation against the backdrop of existing automotive giants with established brand loyalty.
Capital and Investment Requirements	Substantial investment needed for research, development, and infrastructure, along with the challenge of maintaining cash flow during the growth phase.
Competitive Landscape and Incumbent Reaction	Anticipating and responding to the competitive actions of established automakers, including their investments in EV technology and potential political lobbying for favorable conditions.

Source: Casewriter.

As the students realize how difficult was for Tesla to succeed, they will start debating the role that Musk played in overcoming the different barriers. If this does not happen by now, the instructor could ask “How did Musk as an individual leader contribute to Tesla’s success?”

Pasture Three: Musk’s contribution (20 Minutes)

The students will focus on several aspects that can be summarized in **TP Table 3**:

TP Table 3 Musk’s contribution to Tesla’s success

Contributions to Success	Overcoming Barriers
Visionary Leadership	Driving Technological Innovation
Musk’s clear and ambitious vision for the future of automotive and energy industries shaped Tesla’s strategic direction, inspiring groundbreaking products like the Tesla Model S.	Musk’s push for innovation led to significant advancements in battery technology and electric powertrains, overcoming the initial skepticism about electric vehicles’ viability and performance.
Risk-Taking and Resilience	Navigating Financial Struggles
Musk’s willingness to invest his own money and make bold decisions during critical times, such as the 2008 financial crisis, exemplified his commitment and helped secure investor confidence.	Musk navigated Tesla through multiple financial crises by securing crucial funding rounds and temporarily cutting costs, ensuring the company’s survival and continued innovation.
Public Engagement and Brand Building	Regulatory and Market Entry Challenges
Musk’s active use of media and social platforms has not only elevated Tesla’s brand but also created a loyal customer base and public interest that few other automakers enjoy.	Musk’s leadership was pivotal in negotiating with regulators and entering new markets, adapting Tesla’s business model to meet diverse legal and consumer demands worldwide.

Operational Excellence	Scaling Production and Supply Chain Management
Under Musk's leadership, Tesla developed a reputation for high operational efficiency, particularly in how they revolutionized automotive production with extensive automation.	Musk addressed production bottlenecks and supply chain issues by innovating with production processes and vertical integration, significantly increasing production capacity to meet growing demand.

Source: Casewriter.

Students will point towards specific aspects of Musk's leadership style and how those were instrumental in company's success:

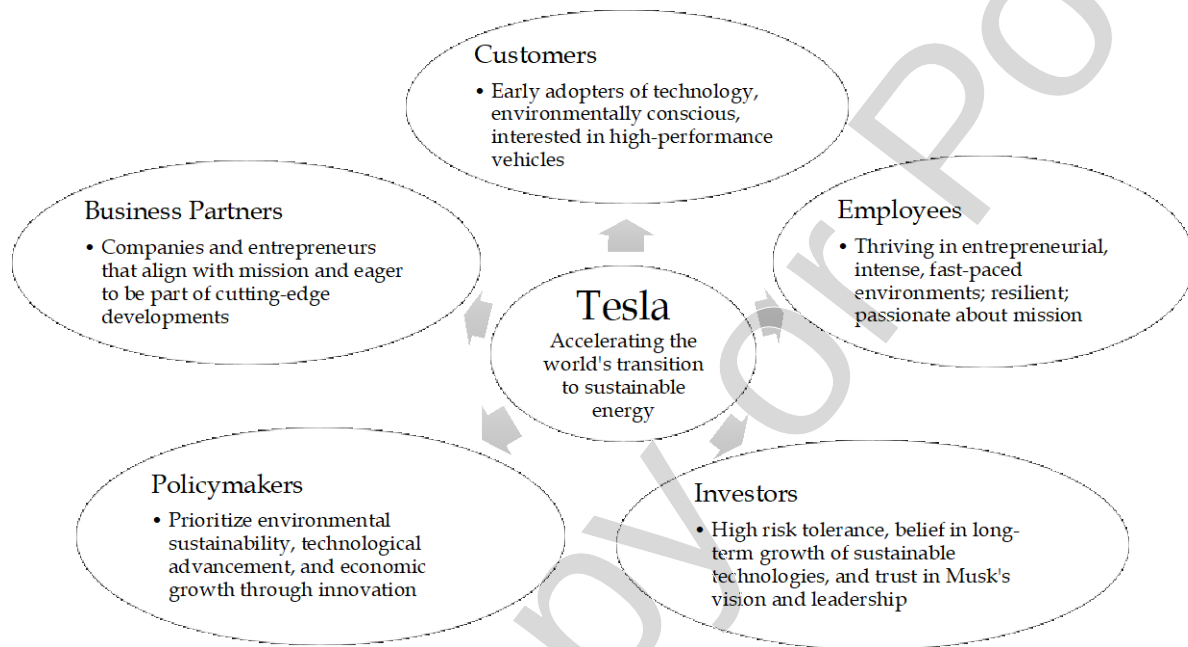
TP Table 4 Musk's management style and Tesla's success

Management Style	Impact on Tesla's Success
Intense Work Ethic	Propelled rapid development and innovation, but at the risk of employee burnout and turnover.
Hardcore Working Hours	Met ambitious goals quickly, but potentially at the cost of alienating some employees.
Strong Voice	Brand building, but sometimes at the expense of reputational, brand and legal risk.
Extremely ambitious targets	Fostered innovative breakthroughs and competitive advantage, but lack of meeting targets leads to lack of credibility over time.

Source: Casewriter.

As students are articulating how Musk's vision and leadership has attracted several stakeholders to commit to Tesla, the instructor could ask students to reflect on *"Who might be attracted to Tesla?"* This allows the students to understand that Musk has been building an ecosystem of stakeholders, who are also willing to take massive risks, as he has been doing through his career, in pursuit of Tesla's purpose. However, as the company is growing and attracting more customers, more employees, more policyholders, more business partners, more investors, the level of appetite for risk and Musk's leadership style might be diminishing creating a conundrum for Tesla.

TP Figure A Tesla's purpose-driven risk alliance



Source: Casewriter.

Before closing the discussion, the instructor could also ask students “Are there elements of the leadership style that you would like to bring as a leader in the climate space?” This allows students to reflect on their own individual strengths, opportunities for improvement and their own aspiring management style. Moreover, it will start a discussion on whether those leadership characteristics and management style is fit for purpose for Tesla today. In 2006, Tesla was a scrappy start-up. In 2023 it is a publicly listed, large corporations with tens of thousands of employees and close to \$100 billion in revenues.

Pasture Four: Still right leader? (15 Minutes)

The instructor could ask a provocative question to start the discussion in this pasture. Ask, “Is Musk still the right CEO for Tesla?” The instructor should generalize this discussion highlighting that this is a topic that generally applies to all start-ups that successfully grow. The question becomes about CEO transition and at what point there needs to be a non-founder that becomes the CEO.

TP Table 5 Musk still the right CEO for Tesla

Reasons	Arguments For	Arguments Against
Risk Taking	Musk's appetite for innovation and high-risk decisions has historically paid off, positioning Tesla as a leader in the EV market.	The company may benefit from a more cautious approach to stabilize and maintain its market position as it matures.
Public Image and Branding	Musk's personal brand is deeply intertwined with Tesla, attracting customers and investors who believe in his mission.	Musk's controversial public behavior and other business ventures might distract from Tesla's core mission and operations.
Management Style	His intense management style may continue to drive towards unprecedented milestones.	A different management style that focuses on professionalizing management and governance needed.
Relationship with Investors	Musk has a track record of exciting investors and has been able to secure significant funding for Tesla's ambitions.	Investors might seek more predictable leadership that offers steady, reliable returns and less volatility.
Regulatory Navigation	Musk has navigated Tesla through complex regulatory environments successfully.	Tesla might benefit from a CEO with a more diplomatic approach to regulatory and political challenges.
Other commitments	Being the CEO also of other companies like Space X allows to create an ecosystem of innovation and intercompany learning	Being the CEO also of other companies like X (previously known as Twitter) is a distraction and lack of focus on Tesla

Source: Casewriter.

The instructor could close this discussion by taking a vote in the class.

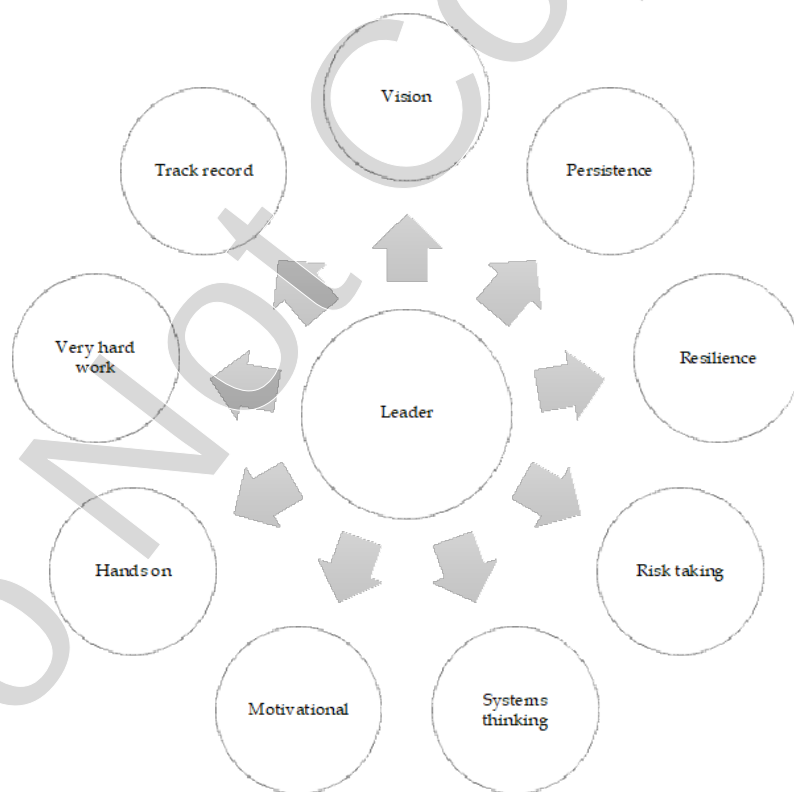
Wrap Up

There are several key takeaways that the instructor should highlight at the end of the class:

- Tesla and Musk have been highly successful in creating a purpose-driven alliance of customers, investors, policymakers, business partners, and employees that are aligned with the mission of the firm and willing to exhibit the level of patience and assume the level of risk historically needed to realize the potential of Tesla.
- A key challenge is the ability to maintain the risk alliance as the company grows and expands to customers, employees, investors, policymakers, and business partners that might not have the same appetite for risk or might not be able to understand or embrace as deeply the vision of the company.
- The instructor could also reflect on the imperfect nature of individuals and companies. There is no such thing as a perfect leader as we can see from the cases. For as many positive attributes students attribute to Musk's leadership and management style, students also identify weaknesses. Weak governance, distractions with X and a track record of overpromising and failing to meet targets and deadlines are just a few. Similarly, there is no such thing as a perfect company. While Tesla is leading the whole industry to reduce its carbon emissions therefore having a significant positive climate impact, ESG evaluation frameworks identify several deficiencies on human capital and governance issues.

- These insights lead to a reflection on what might be prioritized given the individual circumstances and what might be most important for a company's stakeholders. For example, Tesla's mission to accelerate sustainable energy and the pace of change might require extremely hard-working environment (hardcore in the words of Musk) and sacrificing some aspects of social responsibility and governance.
- The discussion also illustrates that a different person might be the right leader of a company in different parts of its lifecycle. In general, students that see Tesla still as a highly disruptive company with exponential growth rate potential and in the early stages of the S-curve support that Musk is still the right leader. Students that see Tesla now as a more mature company that needs to prioritize professionalization, efficiencies, strong control systems and governance, support a transition to a new CEO that could navigate this process.
- The instructor should make the connection between the points in the lifecycle of a company and the choice of the leader. The instructor can draw an S-curve of product adoption over time on the board and point to the different points in the lifecycle of product adoption and how this relates to the student arguments.
- The instructor could also summarize several of the characterizations of Musk as a leader that have come up during the conversation, as in **TP Figure B**, and invite students to think hard about which of those they exhibit, which they should develop further and what is their plan for doing so.

TP Figure B Individual Leader Characteristics



Source: Casewriter

Board Plan

Left Board 1	Center Board 1	Right Board 1
Tesla's purpose-driven alliance	Give more votes?	How difficult was success?

Left Board 2	Center Board 2	Right Board 2
Still the right CEO?	Musk's contribution to success	Musk's contribution to success

Source: Casewriter